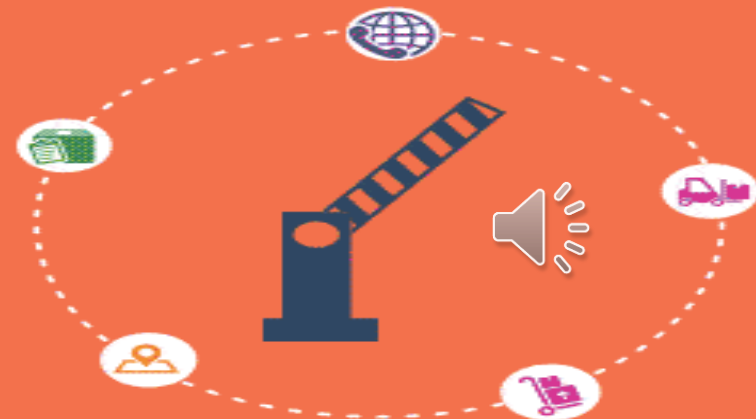




THE MARKET INTEGRATION



Term used to identify a phenomenon in which markets of goods and services are somehow related to one another to experience similar patterns of increase or decrease in terms of the prices of those products. The price of related goods and services sold in a defined geographical location



It is also a state of affairs or process involving attempts to combine separate national economies into larger economic regions.



The market integration exist or occurs within two or more markets are exerting effects.



FORMS OF MARKET INTEGRATION

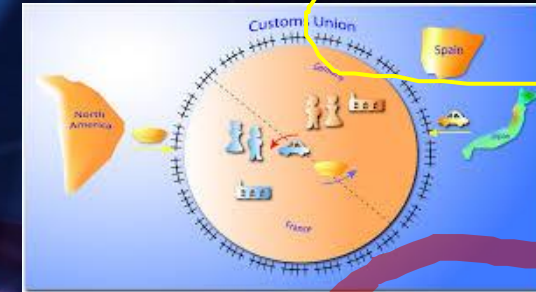
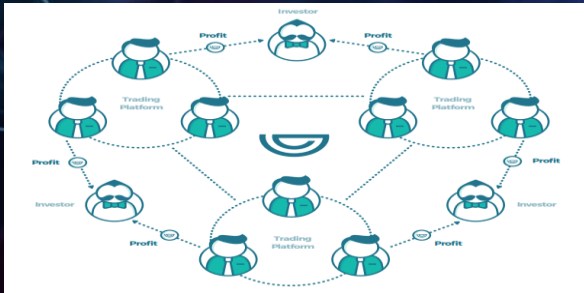
PREFERENTIAL TRADE AGREEMENT - It involves lower trade barriers between countries who have signed the agreement.



FREE TRADE AGREEMENT - It reduces barriers to trade among member countries to zero but each member country still has autonomy in deciding external tariff for its trade with non-member countries.



CUSTOMS UNION - countries agree to abolish tariff and non-tariff barriers. They agree to a common external tariff.



COMMON MARKET - allowing free movement of Labor and Capital within the union.

ECONOMIC UNION - Highest form of Market/Economic Integration, member countries also agree to integrate money, fiscal and other policies.



THE EUROPEAN UNION



28 FLAG EUROPEAN UNION COUNTRIES



AUSTRIA



BELGIUM



BULGARIA



CROATIA



CYPRUS



CZECH



DENMARK



ESTONIA



FINLAND



FRANCE



GERMANY



GREECE



HUNGARY



IRELAND



ITALY



LATVIA



LITHUANIA



LUXEMBOURG



MALTA



NETHERLAND



POLAND



PORTUGAL



ROMANIA



SLOVAKIA



SLOVENIA



SPAIN



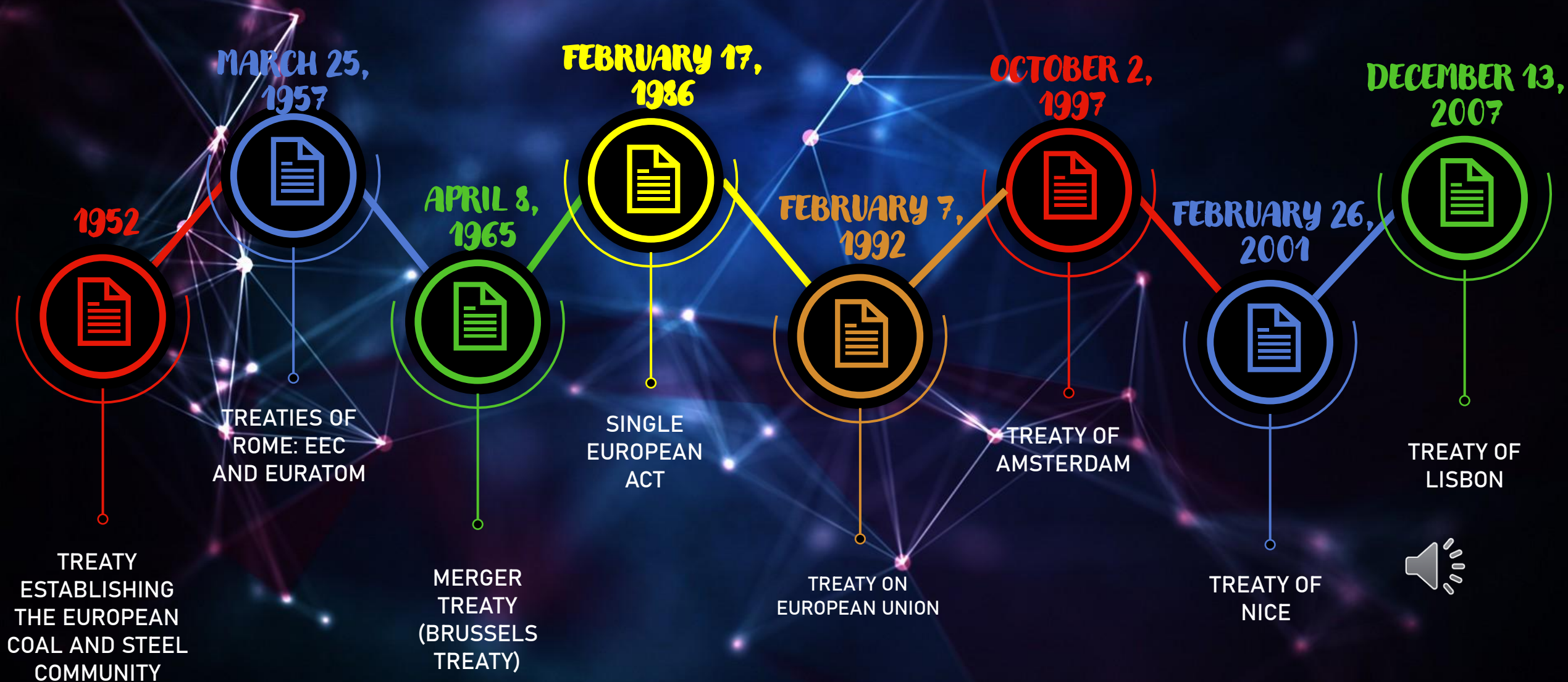
SWEDEN



UK



LEGAL BASIS OF EUROPEAN UNION



ASSOCIATION OF SOUTH EAST ASIAN NATION (ASEAN)

- On August 8, 1967 ASEAN was created by the 5 foreign minister from South East Asia. Foreign minister of Indonesia, Malaysia, Philippines, Singapore and Thailand.
- The Five Founding Fathers of ASEAN - Adam Malik (Indonesia), Narciso R. Ramos (Philippines), Tun Abdul Razak (Malaysia), S. Rajaratnam (Singapore) and Thanat Khoman (Thailand).
- After the creation of some policies of ASEAN, the following countries join the ASEAN. Brunei Darussalam (January 1984), Vietnam (July 1995), Laos and Myanmar (July 1997) and Cambodia April 1999.



AEC BLUEPRINT 2025

- Provides broad directions through strategic measures for AEC from 2016 to 2025.



CHARACTERISTICS OF AEC BLUEPRINT 2025

- A highly integrated and cohesive economy
- A competitive and dynamic ASEAN
- Enhanced, connectivity and sectoral cooperation
- A resilient, inclusive, people-oriented and people-centered ASEAN
- A global ASEAN

ASEAN FREE TRADE AGREEMENT (AFTA)

- ASEAN members have made significant progress in lowering intra-regional tariffs through COMMON EFFECTIVE PREFERENTIAL TARIFF (CEPT). Products under CEPT have been brought down to the 0-5% tariff range.
- An inclusion list was created to determine the products that will be under this 0-5% tariff range, but not all members of ASEAN can follow these agreement.
- CEPT was created to improve the flow of trade between ASEAN members.



FOUR PILLARS OF ASEAN ECONOMIC COMMUNITY



The four pillars in the AEC



INTERNATIONAL FINANCIAL INSTITUTION

- Institutions that provide financial support via grants and loans for economic and social development activities in developing countries.
- They also provides loan for private businesses investing in developing countries.
- They also play a significant role in the privatization and regulation of public utilities and natural resources.



WORLD BANK

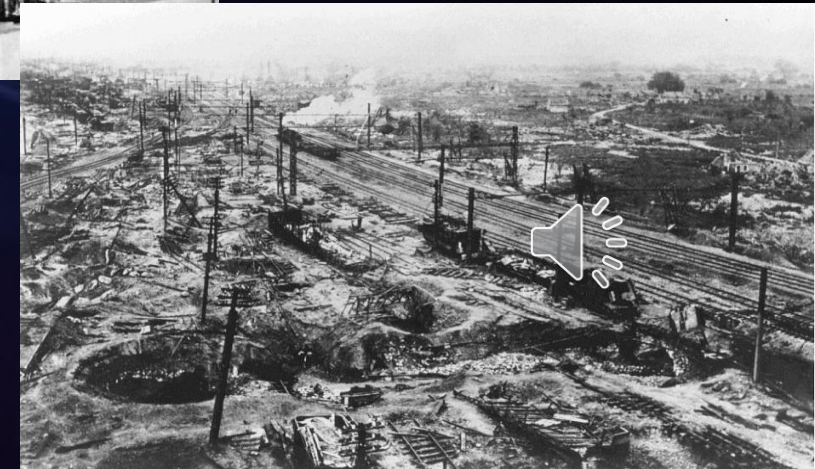
- World's largest development institution.
- It has worked to help 100 developing countries.
- It was founded in 1944, its first name was the international bank for reconstruction and development.
- Its first goal was to help to rebuild countries devastated by world war ii and in 1956 the institution became able to lend private companies.

GOALS

- To end extreme poverty.
- Promote shared prosperity by promoting income growth of the poorest 40% of every country.



86% unmarried girls in Jharkhand want to complete secondary school and work after marriage



THE FIVE ORGANIZATION OF WORLD BANK



The International Bank For Reconstruction And Development (IBRD) - it lends to government of the middle-income and creditworthy low-income countries.

The International Centre For Settlement Of Investment Disputes (ICSID) - Provides international facilities for conciliation and arbitration of investment disputes.



The International Development Association (IDA) - it provides interest free loans and grants to governments of the poorest country.



Multilateral Investment Guarantee Agency (MIGA) - Promotes foreign direct investment into developing countries to support economic growth, reduce poverty, and improve people's lives.



International Finance Corporation (IFC) - Focused only on the private sector.



INTERNATIONAL MONETARY FUND (IMF)

- Is an international organization of 189, working to foster global monetary cooperation, secure financial stability, facilitate international trade, promote high employment and sustainable economic growth and reduce poverty around the world.
- IMF was created during UN Conference in Bretton Woods, New Hampshire, United States, in July 1944.

IMF's RESPONSIBILITIES

- The IMF's primary purpose is to ensure the stability of the international monetary system-the system of exchange rates and international payments.



MISSION OF IMF



SURVEILLANCE

- It oversees the international monetary system and monitors the economic and financial policies.



LENDING - a core responsibility of the IMF is to provide loans to member countries experiencing actual or potential balance of payments problems.



CAPACITY DEVELOPMENT

- IMF provides technical assistance and training. It helps member countries design and implement economic policies that foster stability and growth by strengthening their institutional capacity and skills.



HOW DOES EXCHANGE RATE AND CURRENCY WORKS?

FLOATING EXCHANGE RATE



FIX EXCHANGE RATE



GOLD RESERVE

The government is going to manipulate the exchange rate instead of letting the market dictates the exchange rate of one country.



WHERE DOES THE IMF GETS ITS MONEY?

- Most resources of the IMF loans are provided by member countries, primarily through their payment of quotas.
- Second source are from multilateral and bilateral borrowing work
- Third source are from by providing a temporary supplement to quota resources.

LENDING CAPACITY

Can use its quota-funded holdings of currencies of financially strong economies to finance lending. Transactions are selected by the executive board.

